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Morning Note
Wednesday, July 29, 2026
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Tone: Volatile / Risk-Off

FOMC day, with two other storms already on the tape. The Fed's decision lands at 2:00 PM ET with Chair Kevin Warsh's press conference at 2:30 PM, and it is a genuinely close call: CME FedWatch odds of a hold have slipped to roughly 64-70%, down from over 80% a week ago. The reason is oil, again — Iran fired ballistic missiles at a U.S. base overnight (intercepted), reigniting a conflict that has whipsawed crude and yields all month: Brent spiked above $100 on July 23, eased on peace-talk hopes into the weekend, and has now jumped another 7%+ to $90.35 (WTI $85.11) as hostilities resumed. Layered on top is a second, unrelated shock: an AI-capex-driven semiconductor rout out of Asia, with South Korea's Kospi down 10.84% — its worst session in years — as Samsung and SK Hynix both fell more than 13%, and U.S. chip names (Micron, AMD, Intel) are following lower pre-market even as a Dow rotation into value and a Ford earnings beat keep the headline indices calmer than the tape underneath. The question for this afternoon: does Warsh treat the renewed oil spike as transitory geopolitical noise, or does it tip an already-close decision toward a hike.

OVERNIGHT MACRO

- **Asia:** Nikkei -3.95% to 62,364.92 in a deepening AI-capex selloff; Kospi -10.84% to 6,023.66 — its worst session in years — with Samsung -13.4% and SK Hynix -14.7%. Hang Seng a rare outperformer, +0.31%.
- **Europe:** Stoxx 600 +0.2%, DAX +0.5%, CAC +0.4%, FTSE 100 +0.1% — broadly green ex-energy; the Asia semiconductor selloff has not yet spread to European tech.
- **FX:** Dollar index holding near 101.3, little changed, as markets await the 2:00 PM Fed decision.
- **U.S. Futures:** S&P futures +0.2%, Nasdaq futures mixed as chip weakness (Micron -8.8%, AMD -8.1%, Intel -5.9%) offsets a Ford earnings beat (+4% premarket). Tuesday's cash close: Dow +1.03% to 52,747.32, S&P 500 +0.21% to 7,428.78, Nasdaq -0.22% to 24,876.91.

RATES & CREDIT SNAPSHOT

Instrument	Level	Move	Note
2Y Treasury	4.308%	+3bp	Ticking back up into the decision after last week's Iran-deal-hope pullback.
10Y Treasury	~4.62%	Higher	Off its July 23 2026 high of 4.70%, but rising again this morning on the oil spike.
30Y Treasury	5.12%	Higher	Off its 2026 high of 5.19% but still elevated versus pre-conflict levels.

Yields have tracked the oil whipsaw almost tick for tick this month — falling as Iran de-escalation hopes built late last week, then reversing back up this morning as hostilities resumed. That leaves the curve meaningfully below its July 23 highs but rising again into a decision that is closer than markets expected even a week ago.

Meeting	Current Range	Market-Implied	Note
FOMC, Jul 28-29 (decision today, 2pm ET)	3.50-3.75%	~64-70% hold	Down from >80% a week ago as the oil-driven inflation scare complicates the call. Warsh presser 2:30pm ET.

Credit: IG OAS holding near 80bps and HY OAS near 277bps — both little changed. Credit has largely shrugged off the volatility in oil, rates, and equities this month, which remains the most notable divergence in the market right now.

COMMODITIES & SECTOR TABLES

Commodity	Level	Chg	Note
Brent Crude	$90.35/bbl	+7.4%	Surged after Iran's intercepted missile attack on a US base

Commodity	Level	Chg	Note
WTI Crude	$85.11/bbl	+7.4%	Tracking Brent higher
Gold	$4,043/oz	+0.4%	Modest safe-haven bid
Copper	$6.27/lb	-0.9%	Little changed
Nat Gas	$2.72/MMBtu	+0.7%	Firming with the broader energy complex

The AI-capex selloff is the dominant equity story again — this time hitting Asia semiconductor names hardest overnight, with U.S. chipmakers following pre-market even as the broader tape rotates toward value and defensives.

Sector / Name	Chg	Read
Semiconductors (Micron, AMD, Intel, SanDisk)	-6% to -14%	AI-capex jitters, pre-market
Industrials / Value (Dow)	+1.03%	Rotation beneficiary
Health Care / Staples	Outperforming	Defensive bid
Ford (autos)	+4.1%	Earnings beat, raised FY26 guidance

EVENTS TO WATCH

- **FOMC rate decision, 2:00 PM ET + Warsh press conference, 2:30 PM ET** — the main event. ~64-70% odds of a hold per CME FedWatch, a genuinely close call given the oil-driven inflation scare.
- **Iran-U.S. conflict trajectory** — overnight missile attack on a U.S. base intercepted; Trump says Iran "is going to get a beating." Any further escalation reprices oil and yields immediately.
- **AI-capex / semiconductor selloff** — Kospi's worst session in years. Watch whether the rout spreads into this week's U.S. mega-cap tech earnings.
- **Big Tech earnings this week** — several major tech names report around the Fed decision, a real test for the AI-spending narrative.
- **Credit spreads vs. issuance** — IG/HY still historically tight (~80bps / ~277bps). Watch whether the volatility in rates and oil finally shows up in spreads.